

Calderon Financial Group

The model would not run, and the reason it would not run was more interesting than anything it would have produced.

Ezekiel Marchand had been given Calderon Financial Group as a coverage initiation and had started where he always started, with enterprise value over EBITDA. Calderon was a diversified financial: a retail brokerage with \$410 billion of client assets, an asset management arm running \$180 billion, and a small bank that swept client cash and made securities-backed loans. Revenue was \$6.2 billion, net income \$740 million, and book value of equity \$8.2 billion. The stock traded at 1.30 times book, the lowest of the four companies Marchand covered.

The problem was that Calderon had \$71 billion of debt on its balance sheet, most of it deposits and repo, and adding that to the market capitalization produced an enterprise value of \$81.7 billion against EBITDA of \$1.4 billion — a multiple of 58 times, which meant nothing. Marchand's first instinct was that he had the wrong debt figure. His second, after an hour, was that the concept did not apply.

The head of research, Ingrid Solheim, put it to him this way. "For a manufacturer, debt is how you finance the plant. For Calderon, the deposits are the plant. You cannot net out the raw material and call what is left the business."

So Marchand rebuilt the comparison on price-to-book, which was what the sector used, and produced Exhibit 1. Calderon was the cheapest company in the group by a wide margin: 1.30 times book against a median of 1.95. It also had the lowest return on equity, at 9.0 percent against a median of 14.5, and the lowest expected growth.

Marchand's draft note said Calderon was cheap and cited the price-to-book. Solheim sent it back with one line in the margin: "Cheap relative to what it earns, or cheap relative to what its peers earn?"

EXHIBIT 1 — COMPARABLE FINANCIALS

COMPANY	PRICE/BOOK	RETURN ON EQUITY	SUSTAINABLE GROWTH	DIVIDEND PAYOUT
Calderon Financial	1.30	9.0%	4.0%	56%
Tarrant Wealth	1.55	11.2%	4.5%	60%
Idlewood Asset Management	1.95	14.5%	5.5%	62%
Bracken Securities	2.10	16.0%	6.0%	63%

Assume a cost of equity of 10.0 percent for all four.

Calderon's segment detail: brokerage generates 58 percent of revenue at a 22 percent pretax margin; asset management 26 percent of revenue at a 38 percent margin; the bank 16 percent of revenue at a 51 percent margin. Idlewood is essentially all asset management. Bracken is essentially all brokerage.

ASSIGNMENT

- 1 Explain in two sentences why enterprise value over EBITDA is not a usable multiple for Calderon. Name the general condition under which EV multiples break down.
- 2 Compute the warranted price-to-book for each company using the relationship between price-to-book, return on equity, cost of equity, and growth. Compare each to its actual multiple.
- 3 Answer Solheim's margin note. Is Calderon cheap?
- 4 Check the internal consistency of the table: for each company, does the dividend payout shown imply the sustainable growth shown, given its return on equity?
- 5 Calderon's business mix is not the same as any single peer. Build a mix-weighted comparison and say whether it changes your answer.